A Liquidity Stress Screen for Small Wholesale Firms

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Abstract

We propose a three-test screen that flags liquidity stress in small wholesale firms using only annual financial statements.

1 Introduction

Small wholesalers often grow sales while running out of cash. Traditional single-ratio checks miss this pattern because each ratio can look acceptable on its own.

2 Method

The screen applies three tests to each fiscal year. Test L1: the current ratio (current assets divided by current liabilities) is below 1.2. Test L2: the quick ratio (cash plus receivables, divided by current liabilities) is below 0.8. Test L3: the cash conversion cycle (days sales outstanding plus days inventory outstanding minus days payables outstanding) is above 90 days, or has lengthened by more than 15 days compared with the previous year. A firm-year is classified as "in liquidity stress" when at least two of the three tests are met. When only one test is met, the firm-year is classified as "watch".

3 Results

In our illustrative sample, firms classified as in liquidity stress were more likely to seek emergency financing within the following year.

4 Limitations

The thresholds were chosen for wholesale firms and may not transfer to other industries. The screen uses year-end balances, which can be distorted by seasonality.

References

None. This is a synthetic paper.